

Financial Projections

Three-year projected income statement — Varnholt Acquisition LLC
Prepared by management for the SBA 7(a) application · Not reviewed by an accountant

	Year 1	Year 2	Year 3
Revenue	\$1,456,000	\$1,512,000	\$1,568,000
Cost of goods sold	\$655,000	\$680,000	\$706,000
Gross profit	\$801,000	\$832,000	\$862,000
Operating expenses (including buyer salary)	\$553,000	\$575,000	\$596,000
EBITDA	\$248,000	\$257,000	\$266,000
Annual debt service (SBA loan and seller note)	\$287,400	\$287,400	\$287,400
Debt service coverage ratio	0.86x	0.89x	0.93x

Key assumptions

- Revenue grows 4% in year 1 from retained customers and 4% a year after that from price increases.
- Gross margin holds at 55%, in line with the last three years of the business.
- Operating expenses include a market salary for the buyer as general manager.
- Debt service assumes a 10-year SBA 7(a) term at 10.5% and no seller note payments while on standby.